DATED 7 MAY 2025
PENNINGTON INDUSTRIES LIMITED (1)
DAVID JOHN GARRETY (2)

SETTLEMENT AGREEMENT

(an agreement within the meaning of section 203(3) of the Employment Rights Act 1996)

THIS AGREEMENT is made on 7 May 2025 between Pennington Industries Limited (company number 02844917) of Pennington House, Hagley Road, Birmingham B16 8QG (the Company) and David John Garrety of 14 Selwyn Crescent, Edgbaston, Birmingham B15 3TR (the Employee).

1. Definitions

1. Termination Date means 9 May 2025, being the date on which the Employee's employment terminates by reason of redundancy.

2. Adviser means Oliver Jennings of Birchall Stone LLP, the relevant independent adviser for the purposes of section 203 of the Employment Rights Act 1996.

2. Termination

3. The Employee's employment terminates on the Termination Date by reason of redundancy. Salary and contractual benefits will be paid in the usual way to the Termination Date.

3. Settlement payments

4. A payment in lieu of notice equal to twelve (12) months' basic salary of **£148,000** gross, subject to income tax and national insurance.

5. A statutory redundancy payment of **£9,330**, paid free of tax.

6. An ex-gratia compensation payment of **£95,000** (the Termination Payment), the first £30,000 of which the parties believe may be paid free of tax under sections 401–403 ITEPA 2003, the balance being subject to income tax.

7. Payment for accrued but untaken holiday up to the Termination Date, subject to deductions.

4. Legal fees and outplacement

8. A contribution of **£2,500** plus VAT towards the Employee's legal fees, on receipt of the Adviser's invoice addressed to the Employee and marked payable by the Company.

9. The Company will fund outplacement support to a maximum of **£5,000** plus VAT through a provider of the Employee's choice, on production of an invoice within six months of the Termination Date.

5. Settlement of claims

10. The Employee accepts this Agreement in full and final settlement of all claims arising out of his employment or its termination, including unfair dismissal, automatic unfair dismissal (s.103A ERA 1996), detriment (s.47B ERA 1996), a redundancy payment, breach of contract, and claims under the Equality Act 2010 including age discrimination, save for accrued pension rights and unknown personal-injury claims.

6. Independent advice

11. The Employee confirms he has received independent legal advice from the Adviser as to the terms and effect of this Agreement and its effect on his ability to pursue the claims listed in clause 5.

7. Confidentiality, reference and covenants

12. The parties will keep the terms confidential save as permitted; the Company will provide the agreed reference; the Employee reaffirms his post-termination restrictions, which will apply for a period of nine (9) months from the Termination Date; and the parties will not make derogatory statements about each other.

8. Section 203 ERA 1996

13. The conditions regulating settlement agreements under section 203(3) of the Employment Rights Act 1996 and section 147 of the Equality Act 2010 are satisfied.

9. Governing law

14. This Agreement is governed by the law of England and Wales.

SIGNED by DAVID JOHN GARRETY

Signature: D. J. Garrety Date: 7 May 2025

SIGNED for and on behalf of PENNINGTON INDUSTRIES LIMITED

Signature: R. Pennington Name: Richard Pennington Title: Chief Executive Date: 7 May 2025

ADVISER'S CERTIFICATE

I, Oliver Jennings of Birchall Stone LLP, confirm I have advised the Employee as to the terms and effect of this Agreement and its effect on his ability to pursue his rights before an Employment Tribunal, that I am a relevant independent adviser within section 203 ERA 1996, and that there is in force a contract of insurance covering the risk of a claim against me in respect of that advice.

Signed: O. Jennings Date: 7 May 2025